

**BEFORE THE
FEDERAL MARITIME COMMISSION**

FMC DOCKET NO. 16-12

**PRO TRANSPORT, INC.,
PRO TRANSPORT JACKSONVILLE, INC.,
PRO TRANSPORT SAVANNAH, INC., and
PRO TRANSPORT CHARLESTON, INC.**

Complainants,

vs.

**SEABOARD MARINE OF FLORIDA, INC., and
SEABOARD MARINE LTD.**

Respondents.

**RESPONDENTS' REPLY TO COMPLAINANTS'
RESPONSE TO MOTION TO DISMISS**

Pursuant to Rule 70 of the Federal Maritime Commission's Rules of Practice and Procedure, 46 C.F.R. §502.70, Respondents Seaboard Marine of Florida, Inc. and Seaboard Marine Ltd. (collectively "Seaboard")¹ by and through their undersigned counsel, reply Complainants' response to the Respondents' Motion to Dismiss.

¹ As explained further below, the Complaint does not identify which Seaboard entity acts as an ocean common carrier and which acts as a marine terminal operator. Further, it does not identify which Seaboard entity is alleged to have committed the acts which are the basis of the Complaint. However, for the sake of brevity and solely for purposes of their Motion to Dismiss and related pleadings, Respondents have adopted Complainants' practice of referring to the two Seaboard entities as "Seaboard." This practice is for convenience only, and Respondents reserve the right to challenge the sufficiency of the Complaint as to each of the two separate Seaboard entities.

I. Complainants Still Have Not Remedied Defects In The Amended Complaint Which Deprive The Commission Of Jurisdiction

Complainants' response argues that the Shipping Act applies in this case because Seaboard is a marine terminal operator and "may be" a common carrier. This argument falls woefully short of the applicable legal standard.

The Commission has held that in order to survive a motion to dismiss, a complaint must contain sufficient factual matter, accepted as true, to state a claim to relief that is plausible on its face. *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 54 (FMC 2015). Here, even if all of the facts stated in the Complaint are accepted as true, the Complaint lacks sufficient factual matter to state a plausible claim for relief. More specifically, Complainants conveniently forget that they have named two Seaboard entities as Respondents. They do not identify which entity acts as a marine terminal operator and stop short of asserting that either entity acts as a common carrier (stating only that Seaboard "may also be" a common carrier). In other words, Complainants have not alleged that either Seaboard Marine of Florida, Inc. or Seaboard Marine Ltd. is a marine terminal operator and have not alleged that either Seaboard Marine of Florida, Inc. or Seaboard Marine Ltd. is an ocean common carrier. Thus, they have not alleged, with respect to either of the two named Respondents, a sufficient factual basis for the Commission to assert jurisdiction over the Amended Complaint.

II. The Commission Lacks Subject Matter Jurisdiction

Because Complainants are motor carriers that are not regulated under the Act, the Complaint falls outside of the FMC's jurisdiction and must be dismissed.

It is well-established that in administering the shipping laws, the Commission's primary

objective is to protect the shipping industry's customers from unfair or discriminatory practices.² The Commission is not responsible for protecting the interests of the myriad business entities, such as suppliers, shipyards, and sales agents, who have commercial relationships with carriers. *Sea-Land*, 26 S.R.R. at 582, 584. Accordingly, as motor carriers, Complainants are not members of the class of persons intended to be protected by the Act. Indeed, there is nothing in the language or the legislative history of the Act or in Commission precedent which supports the proposition that the relationship between a motor carrier and an ocean common carrier is to be regulated by the Commission. To the extent Complainants have a dispute with Respondents, the appropriate forum for resolution of that dispute is a court.

Complainants do not seriously respond to this argument, instead claiming that their inability to locate precedential decisions of the agency whose jurisdiction they seek to invoke somehow renders those decisions irrelevant. Instead, they choose to cite irrelevant precedent dealing with different issues. The Complainants have not responded in any meaningful way to the Respondents' position on the issue of subject matter jurisdiction.

III. Complainants Ignore Commission Precedent Interpreting 46 U.S.C. §41106(2)

Section 41106(2) of the Act makes it unlawful for a marine terminal operator to give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person. The Commission has held that in order to prevail on a claim under this provision of the Act, a complainant must show four elements: (i) two parties

² See, *Sea-Land Dominicana v. Sea-Land Service, Inc.*, 26 S.R.R. 578 (FMC 1992)(FMC lacked jurisdiction over dispute between ocean carrier and agent because agent was not regulated entity); *Boston Shipping Association v. FMC*, 22 S.R.R. 78 (1983); *American Union Transport, Inc. v. Italian Line*, 2 U.S.M.C. 553 (USMC 1941)(predecessor of FMC lacked jurisdiction over complaint by broker because broker was not among entities protected by statute); see also, *H.R. Rep. 53, Part I, 98th Cong., 1st Sess.*, at p. 4 (1983).

are similarly situated or in a competitive relationship; (ii) the parties were accorded different treatment; (iii) the unequal treatment is not justified by differences in transportation factors; and (iv) the resulting prejudice or disadvantage is the proximate cause of injury. *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 33 S.R.R. 861, 877-78 (ALJ 2015), citing *Ceres Marine Term., Inc. v. Maryland Port Admin.*, 27 S.R.R. 1251, 1270 (FMC 1997).

Assuming *arguendo* that the Commission has jurisdiction in this matter, Complainants make no effort to plead the facts necessary to make out a plausible claim under this standard, failing to identify which entity they have named as a respondent acts as a marine terminal operator, and failing to identify any person or persons similarly situated to or in competition with Complainants that have been accorded different treatment by Respondents. They instead rely on a purely formulaic recitation of the statutory language. Under the *Twombly* and *Iqbal* pleading standards that have been adopted by the Commission (see the *Maier* decision cited on page 2 of this Reply), this is insufficient to withstand a motion to dismiss.

IV. Complainants Fail To State A Claim under Sections 41106(3) and 41104(10)

Each of these provisions of the Shipping Act make it unlawful for an ocean common carrier or marine terminal operator (respectively) to “unreasonably refuse to deal or negotiate.” As previously noted by Respondents, the primary purpose of the Act’s so-called “prohibited acts” is to protect the shipping public and other regulated entities. Since the common carrier obligations of an ocean common carrier involve the holding out of and provision of service to the shipping public, the prohibition against an ocean common carrier engaging in an unreasonable refusal to deal must be read as a prohibition against unreasonably refusing to deal with shippers. Since marine terminal operators provide services to ocean common carriers, the prohibition against a marine terminal operator engaging in an unreasonable refusal to deal must be read as a

prohibition against unreasonably refusing to deal with ocean common carriers.

In short, Complainants (as motor carriers) do not fall within the class of persons protected by either section 41106(3) or section 41104(10) of the Act. Accordingly, they have failed to state a claim upon which relief may be granted and the Complaint must be dismissed.

Complainants' response is to reassert that Respondents' refusal to pay constitutes an unreasonable refusal to deal. This does not respond to Respondents' argument and merely asserts, without legal support, that a refusal to pay constitutes an unreasonable refusal to deal.

Even assuming *arguendo* that the Commission has jurisdiction in this matter and that sections 41106(3) and/or 41104(10) protect Complainants, there has been no unreasonable refusal to deal in this case. There is no written contract between Complainants and Seaboard. Hence, Seaboard was free to terminate Complainants' services at any time and for any reason. Given Seaboard's unfettered right to terminate Complainants' services, the fact that Seaboard has chosen to exercise that right cannot be considered unreasonable within the meaning of the Act.

Accordingly, Complainants have failed to state a claim upon which relief may be granted under Sections 41106(3) and 41104(10).

V. Complaints Concede Dismissal Of Certain Allegations Is Appropriate

Complainants do not offer any response to Respondents' motion to dismiss the claims made under 46 U.S.C. §§41106(1), 41104(5) and 41104(9). Accordingly, Complainants concede the merit of Respondents' motion with respect to these claims, which should be dismissed for the reasons advanced by Respondents.

VI. **Conclusion**

For the foregoing reasons, the Complaint must be dismissed.

Respectfully submitted,



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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 5th day of October, 2016, a true and correct copy of the foregoing Reply was served, via electronic mail and via first-class mail, postage prepaid on:

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